

Investor Update — 476 Montauk Highway

East Hampton, NY · Hildreth Real Estate Advisors · Issued: May 11, 2026

A NOTE FROM THE OPERATOR

476 Montauk Highway is a small, well-leased shopping center in East Hampton village — 5 commercial units totaling roughly **10,400 square feet**, with a stable, long-tenured mix of neighborhood retail tenants. The property is held **free and clear of debt**, which gives us flexibility on hold period and distributions.

100% leased, with tenants including East Hampton Vacuum, Chen's Garden, Pacheco Deli, Beverage Shop, and Eastern Chateau. Lease terms run from 2026 through 2036 — a durable income stream with limited near-term rollover risk.

What's left:

- Negotiate **East Hampton Vacuum** renewal (lease expires 7/30/2026 — first near-term rollover)
- Confirm and stabilize Chen's Garden lease economics (currently showing \$0 base rent in the rent roll — under review)
- Continue steady management — small repairs, NNN reconciliation at year-end, modest building improvements as needed
- Evaluate refinance / cash-out options given the unlevered position (no mortgage today)

Once stabilized — meaning all in-place tenants on standard NNN terms with current rent — we believe the property should support a **valuation in the \$2.8M – \$3.2M range** based on current Long Island / Hamptons commercial retail cap rates. The detail behind that range is in the report that follows.

— Jason

Hildreth Real Estate Advisors

The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.

1. Current Rent Roll (2026-05-11)

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
Store-1	East Hampton Vacuum	1,480	\$3,895	\$635	\$4,530	\$4,530	2026-07-30	Current
Store-2	Chens Garden	1,720	—	\$1,293	\$1,293	\$1,293	2036-01-31	Current
Store-3	Pacheo Deli	1,380	\$3,816	\$635	\$4,451	\$4,451	2032-06-30	Current
Store-4	Beverage Shop	4,000	\$6,618	\$1,269	\$7,887	\$7,887	2031-03-31	Current
Warehouse	Eastern Chateau	1,843	\$4,250	—	\$4,250	\$4,250	2030-10-31	Current
Total — 5 of 5 units leased		10,423 / 10,423	\$18,579	\$3,832	\$22,411	\$22,411	100.0% leased	

Rent roll for 476 Montauk Highway, East Hampton. "Scheduled" = stabilized contractual base + CAM. "Billable Now" reflects current billing. Note: **Chen's Garden (Store-2)** currently shows \$0 base rent with CAM-only billing — under review for renewal / rent reset.

2. CapEx To Date

Modest capital spend since acquisition, focused on building improvements. No major renovation program has been undertaken at this property. Spend is derived directly from the General Ledger.

Project	Category	GL Account	Status	Spent
Building Improvements	Building Improvement	1860	Completed	\$20,000
CapEx through P&L (9xxx)	Other	9xxx	Completed	\$6,900
Total CapEx Spent To Date				\$26,900

3. Remaining CapEx

No outstanding capital projects budgeted at this time. Future TI / LC reserves will be triggered by lease activity (e.g., Atelier and ETS Bagels renewals in pipeline).

4. Rent Roll — 1 Year Forward (May 2027)

Projected Monthly Loaded Rent (May 2027): \$22,411 vs. \$22,411 billable today (+\$0/mo)

Unit	Tenant	SF	Base Rent	CAM	Loaded	Status
Store-1	East Hampton Vacuum	1,480	\$3,895	\$635	\$4,530	holdover
Store-2	Chens Garden	1,720	—	\$1,293	\$1,293	occupied
Store-3	Pacheo Deli	1,380	\$3,816	\$635	\$4,451	occupied
Store-4	Beverage Shop	4,000	\$6,618	\$1,269	\$7,887	occupied
Warehouse	Eastern Chateau	1,843	\$4,250	—	\$4,250	occupied
Forward Total — 5 of 5 units leased		10,423 / 10,423			\$22,411	100.0% leased

5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

Unit	Tenant	SF	Stabilized Rent	CAM	Loaded	Source
Store-1	East Hampton Vacuum	1,480	\$3,895	\$635	\$4,530	
Store-2	Chens Garden	1,720	—	\$1,293	\$1,293	
Store-3	Pacheo Deli	1,380	\$3,816	\$635	\$4,451	
Store-4	Beverage Shop	4,000	\$6,618	\$1,269	\$7,887	
Warehouse	Eastern Chateau	1,843	\$4,250	—	\$4,250	
Stabilized Total		10,423	\$18,579	\$3,832	\$22,411	

Stabilized NOI

Stabilized Revenue	\$256,288
Stabilized Operating Expenses	(\$47,329)
Stabilized NOI	\$208,959

Valuation Range

Cap Rate	Valuation	Per SF
6.5% (Low Cap → High Value)	\$3,214,752	\$308
7.0% (Mid)	\$2,985,127	\$286
7.5% (High Cap → Low Value)	\$2,786,118	\$267

Total Equity Invested To Date

Land	\$588,750
Buildings	\$3,336,250
Closing Costs & Holdbacks	\$-1,718,527
Subtotal — Acquisition Basis	\$2,206,473
CapEx Invested (1xxx fixed-asset + 9xxx P&L)	\$26,900
Total All-In Project Basis	\$2,233,373
Less: 1st Mortgage Outstanding	(—)
Total Equity Invested To Date	\$2,233,373

Closing Costs & Holdbacks combines acquisition closing costs, mortgage / refinance closing fees, and due-diligence holdbacks.

Implied Equity & Return on Investment

Valuation @ 7.0% (Mid)	\$2,985,127
Less: 1st Mortgage Principal	(—)
Implied Equity Value (Today)	\$2,985,127
Cash Distributions Paid To Investors (To Date)	—
Less: Total Equity Invested To Date	(\$2,233,373)
Total Equity at Stabilization	\$2,233,373
Unrealized Gain + Distributions vs. All-In	\$751,754
Equity Multiple at Stabilization (Mid)	1.34x

No cash distributions have been paid to investors to date.

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes \$48,312 of one-time addbacks where applicable.

6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

Month	Revenue	Operating Expenses	NOI	CapEx	Debt Service	Net Cash Flow
Apr 2025	—	(\$25)	\$-25	(—)	(—)	\$-25
May 2025	—	(—)	—	(—)	(—)	—
Jun 2025	—	(\$85)	\$-85	(—)	(—)	\$-85
Jul 2025	\$15,343	(\$11,753)	\$3,590	(—)	(\$9,924)	\$-6,334
Aug 2025	\$19,544	(\$9,935)	\$9,609	(\$6,900)	(—)	\$2,709
Sep 2025	\$22,848	(\$2,144)	\$20,705	(—)	(—)	\$20,705
Oct 2025	\$23,336	(\$33,471)	\$-10,136	(—)	(—)	\$-10,136
Nov 2025	\$18,227	(\$3,639)	\$14,588	(—)	(\$26,140)	\$-11,552
Dec 2025	\$7,387	(\$15,342)	\$-7,955	(—)	(\$13,060)	\$-21,015
Jan 2026	\$21,362	(\$1,616)	\$19,746	(—)	(\$13,060)	\$6,686
Feb 2026	\$21,387	(\$6,001)	\$15,386	(—)	(\$13,060)	\$2,326
Mar 2026	\$16,293	(\$5,402)	\$10,891	(—)	(\$13,060)	\$-2,169
T-12 Total	\$165,727	(\$89,414)	\$76,314	(\$6,900)	(\$88,304)	\$-18,890

Cash-basis as recorded in the General Ledger. **Revenue** includes base rent + CAM + reimbursements. **Net Cash Flow** = NOI – CapEx – Debt Service and represents cash available to investors before distributions / reserves.